Standard Operating Procedure

AZ 206 Corrective Action Procedure

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Revised By:		(SIGNATURE)	Date:

Review & Approval

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1. PURPOSE

This procedure defines the systematic process for identifying, documenting, investigating, and resolving nonconformances — including food safety, quality, and operational deviations — at all HubStarr Logistics 3PL warehouse facilities. It ensures that corrective actions address root cause, prevent recurrence, and are verified for effectiveness. This procedure is aligned with applicable third-party food safety audit standards, including GFSI-benchmarked schemes.

2. SCOPE

Applies to all nonconformances — food safety, quality, operational, and regulatory — identified at any HubStarr Logistics facility, including: pre-op and sanitation failures, pest findings, temperature deviations, product damage, allergen incidents, customer complaints, audit findings, regulatory observations, and any deviation from a documented procedure or standard. Applies to all HubStarr Logistics personnel responsible for identifying, reporting, or resolving nonconformances.

3. DEFINITIONS

Nonconformance (NC): Any condition, product state, or activity that does not meet an established requirement, specification, SOP, or food safety, quality, or operational standard.

Corrective Action (CA): Immediate steps taken to contain and correct a specific nonconformance.

Preventive Action (PA): Systemic steps taken to eliminate the root cause of a nonconformance and prevent recurrence.

CAPA: Corrective and Preventive Action -- the combined documentation of CA + PA + verification.

Root Cause: The fundamental underlying reason a nonconformance occurred.

Compliance: The designated compliance team or individual responsible for the corrective action system at each facility (includes Preventive Controls Qualified Individual responsibilities where required by regulation).

Verification: Confirmation that a corrective or preventive action was implemented and is effective.

4. RESPONSIBILITIES

Compliance: Process owner for the corrective action system. Manages CAPA log; reviews and approves all CAPAs; leads root cause investigations; assigns and tracks corrective actions to closure; determines when food safety recall/withdrawal is warranted; presents CAPA trends at management review.

FS/Account Leads: Identify and report nonconformances at facility level; implement immediate corrective actions; support investigation; verify completion of assigned actions.

Warehouse Supervisors/Personnel: Identify and immediately report any nonconformance to FS Lead or supervisor; implement containment as directed; do not resume non-compliant activity until clearance is given.

5. NONCONFORMANCE IDENTIFICATION AND REPORTING

5.1 Sources of Nonconformance Detection

Nonconformances may be identified through: daily pre-op inspections, sanitation checks, pest control monitoring, temperature monitoring alerts, receiving inspections, internal or external audits (including third-party food safety audits), customer complaints, employee observations, regulatory inspections, supplier notifications, or incident review. Scheduled inspections (pre-op, weekly, monthly, and annual) are conducted using the facility's inspection checklists, which serve as the primary nonconformance identification and documentation tool.

5.2 Immediate Reporting

Any employee who identifies a nonconformance — whether during a scheduled inspection or through routine observation — shall immediately report it to their direct supervisor or FS Lead and document the nonconformance using the CAPA form at the time of identification. The FS Lead shall notify Compliance by end of the same business day. Critical nonconformances (e.g., active contamination, pest breach, temperature excursion beyond 10 deg F of setpoint, allergen incident, or any condition posing immediate operational risk) shall be escalated to Compliance within 2 hours.

5.3 Containment

Upon identification of any nonconformance involving product integrity, the Warehouse Supervisor shall immediately place affected product on hold per the On-Hold / Rejected Items Log and restrict access to the affected area until assessment is complete. Product shall not be released without written authorization from Compliance per AZ-141 Product Release for Shipment.

6. CAPA LOG AND TRACKING

During any scheduled inspection (pre-op, weekly, monthly, or annual), the inspector determines whether a CAPA is warranted for each finding. If yes, the inspector completes the CAPA fields within the checklist — including description, root cause, corrective and preventive actions, photos, and due date — and the CAPA is assigned to the responsible manager for resolution and sign-off. CAPAs may also be initiated independently using the standalone CAPA form. Compliance shall transfer each CAPA to the CAPA Log (maintained per the facility's document control system) within one business day and supplement with lifecycle tracking fields. Required fields per CAPA Log entry:

CAPA ID (sequential: CAPA-YYYY-###)

Facility (identify applicable site name and location code)

Date identified, date logged

Reported by (name and position)

Location within facility (area, zone, or equipment)

Source / trigger of nonconformance

Description of nonconformance

Severity (Critical / Major / Minor -- see Section 7)

Immediate corrective action taken

Root cause determination

Preventive action and responsible party

Supporting photos or evidence (if applicable)

Target and actual completion dates

Verification method, date, outcome (resolved / not resolved), and reference to confirming inspection(s)

Verified by (name and position)

Status (Open / In Progress / Closed)

7. SEVERITY CLASSIFICATION

CRITICAL -- Active risk to food safety, product integrity, personnel safety, or operations: contamination, allergen incident, pest breach in product zone, temperature abuse beyond safe limits, regulatory violation, or imminent public health risk. Escalate to Compliance within 2 hours. Consider product hold, recall/withdrawal evaluation, and regulatory notification.

MAJOR -- Significant departure from food safety, quality, or operational requirement: failed pre-op, sanitation deviation, repeated minor nonconformance, documentation falsification, supplier non-compliance, or audit observation with potential food safety or operational implication. Investigation and CAPA within 5 business days.

MINOR -- Isolated procedural or documentation gap with no direct food safety or significant operational implication. Resolution within 10 business days.

8. ROOT CAUSE ANALYSIS

8.1 Analysis Method

The initial root cause documented on the CAPA form serves as a starting point. Compliance shall conduct a formal root cause analysis proportional to severity using one or more of the following methods:

5-Why Analysis: Ask 'Why did this happen?' iteratively until the root cause is identified (typically 3-5 levels). Document each level.

Fishbone (Ishikawa) Diagram: Categorize potential causes by Man, Machine, Method, Material, Measurement, or Environment. Identify which category contains the root cause.

Timeline Analysis: For complex or recurring events, construct a timeline of events leading to the nonconformance to identify the point of failure.

8.2 Root Cause Categories

Common root cause categories applicable to HubStarr warehouse operations: insufficient or lapsed employee training; inadequate or unclear written procedure; equipment malfunction or inadequate maintenance; environmental condition (pest pressure, temperature excursion, facility condition); supplier or vendor non-compliance; documentation error; process design gap; insufficient monitoring frequency. Document the identified category in the CAPA Log.

8.3 Inconclusive Root Cause

If the root cause cannot be definitively established, document all analysis performed and state the most probable cause. Implement preventive action targeting the most probable cause and set a follow-up review date to re-evaluate if recurrence occurs.

9. CORRECTIVE AND PREVENTIVE ACTION DEVELOPMENT

9.1 Corrective Action (Immediate)

Immediate corrective action shall be taken to contain the nonconformance, including: product segregation or hold, area restriction, process stoppage, re-inspection, re-cleaning, or re-training. Corrective action shall be documented in the CAPA Log within 24 hours of identification for Critical findings, and within the applicable response window for Major and Minor (see Section 7).

9.2 Preventive Action (Systemic)

Based on the root cause, Compliance shall develop a preventive action to eliminate recurrence. Preventive action may include: SOP revision, training refresher, frequency increase for monitoring, equipment repair or replacement, supplier corrective action request, process redesign, or addition of a new control. Each preventive action shall have a named responsible party and target completion date.

9.3 CAPA Approval

All CAPAs shall be reviewed and approved by Compliance. Approval is documented in the CAPA Log.

10. IMPLEMENTATION AND VERIFICATION

10.1 Implementation Tracking

Compliance shall track all open CAPAs to closure. Status shall be updated in the CAPA Log at each milestone. FS Leads shall report implementation progress at weekly or bi-weekly check-ins.

10.2 Effectiveness Verification

Within 30 days of CAPA implementation, Compliance shall verify effectiveness primarily through review of subsequent scheduled inspections (pre-op, weekly, monthly, or annual) covering the affected area or process, confirming no recurrence of the same nonconformance. Additional verification may include review of relevant monitoring records or a targeted follow-up inspection. The verification outcome, date, and reference to the confirming inspection(s) shall be documented in the CAPA Log. If the CAPA is found ineffective, the case shall be reopened and root cause re-analyzed.

10.3 CAPA Closure

A CAPA is closed when: all corrective and preventive actions are implemented, effectiveness is verified through documented inspection evidence showing no recurrence, and Compliance confirms closure in writing in the CAPA Log. Closure date, verifier name, and reference to the confirming inspection(s) shall be recorded.

11. TREND ANALYSIS AND MANAGEMENT REVIEW

Compliance shall compile a CAPA trend report at minimum quarterly, covering all applicable facilities, reporting: total CAPAs by severity and category, closure rate, recurring nonconformance types, and CAPA effectiveness rate. This report shall be presented to management and included in the annual management system review (per AZ-131 Annual FSMS Review SOP). Recurring trends shall trigger evaluation of applicable preventive controls and SOP adequacy.

12. RECORDS RETENTION

All CAPA records shall be retained for a minimum of 3 years (or per customer contract, whichever is greater), stored per the facility's document control system. Retained records include: CAPA Log entries, root cause analysis worksheets, corrective and preventive action documentation, verification records, and any supporting photos or inspection records.

13. RELATED DOCUMENTS

AZ-110 Good Documentation Practices

AZ-131 Annual FSMS Review SOP

AZ-141 Product Release for Shipment

AZ-205 Customer Complaint Procedure

CAPA Log (per document control system)

On-Hold / Rejected Items Log

Applicable third-party food safety audit standard (e.g., GFSI-benchmarked scheme)

Standalone CAPA Form

Pre-Op Deviation Log

- **Document History:**

Revision	Change	Effective date
ORG	**Initial Release - AZ-206 Corrective Action Procedure**	8/19/2026

This process is required to be reviewed, at a minimum, on a 3-year cycle. If there are no changes to the previous revision the signature below is evidence of the review and approval of this procedure.

Reviewed By: _____ Date _____

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